

Question #1 of 13

Question ID: 1481910

The first step in evaluation of an announced corporate transaction is:

- A) preliminary valuation.
 - B) the gathering of data.
 - C) initial evaluation.
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Question #2 of 13

Question ID: 1481907

Kavi Biswas, CFA, makes the following statements:

- Statement 1: Empirical studies suggest that corporate transactions taken during stronger economic times tend to create more value.
- Statement 2: Corporate transactions tend to be cyclical, increasing in prevalence during economic expansions and decreasing during contractions.

Which statement is correct?

- A) Statement 1 only.
 - B) Statement 2 only.
 - C) Neither statement is correct.
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Simon Gracier follows Company P. On December 31, 20x2, Company P made an offer to acquire 100% of Company S's outstanding shares for a purchase price of €175 million—€122 million is financed by senior unsecured debentures with a yield of 6.5%, and the remaining is in stock based on the €52 per share current market price of Company P. Pre-acquisition financial statements are presented in **Financial Statements (€ thousands) for the Year Ended December 31, 20X2**.

Financial Statements (€ thousands) for the Year Ended December 31, 20X2

Balance Sheet

	Company P	Company S
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Working capital	€25,098	€3,692
Fixed assets	<u>€1,807,088</u>	<u>€265,800</u>
Total assets	<u>€1,832,186</u>	<u>€269,492</u>
Debt	€24,460	€9,262
Equity	<u>€1,807,726</u>	<u>€260,230</u>
	<u>€1,832,186</u>	<u>€269,492</u>

Income Statement

	Company P	Company S
Sales	€225,886	€33,225
COGS	<u>€166,026</u>	<u>€19,603</u>
Gross profit	€59,860	€13,622
SG&A	€24,845	€3,987
Depreciation	€8,442	€2,269
Interest expense	<u>€1,223</u>	<u>€741</u>
Income from continuing operations	<u>€25,350</u>	<u>€6,625</u>

Gracier is concerned about the impact of the acquisition on Company P's WACC.

Peer Comparable Company Analysis for Company S (€ '000s) shows data about Company S's peers.

Peer Comparable Company Analysis for Company S (€ '000s)

Company	Enterprise Value	Revenues	EV/Rev
Alpha	1,312	298	4.40
Beta	569	115	4.95
Gamma	1,994	391	5.10
Zeta	812	167	4.86

Using data in **Financial Statements (€ thousands) for the Year Ended December 31, 20X2**, Company P's consolidated-debt-to-EBITDA ratio after acquisition will *most likely*:

- A) increase.
 - B) decrease.
 - C) remain the same.
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Question #4 - 6 of 13

Question ID: 1501608

Which of the following statements about Company P's WACC is *most accurate*?

- A) Weights of debt and equity are calculated using most recent book values, and include any financing raised or additional equity issued.
 - B) The cost of debt will depend on the historical cost of debt of Company P only.
 - C) Several factors influence the cost of debt: profitability, volatility of EBITDA, leverage, collateral, and so on.
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Question #5 - 6 of 13

Question ID: 1501609

Which of the following is the *best* estimate of the value of equity of Company S, using the comparable company analysis?

- A) €160,415,000.
 - B) €151,153,000.
 - C) €171,876,000.
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Question #6 - 6 of 13

Question ID: 1501610

Assuming that Company P and Company S instead agree to enter into a joint venture, which of the following statements is *most accurate*?

- A) Company P and Company S would cease to exist, and a new company would instead be formed.

- Company P would report the investment using the acquisition method, while
- B)** Company S would report under the equity method.
- C)** Both companies would report the investment using the equity method.
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Question #7 of 13

Question ID: 1481919

An analyst is writing a report on the impact of an announced divestment by Ziglair, Inc. The transaction calls for sale of Ziglair's foreign subsidiary. She makes the following two statements in the report:

- Statement 1: One approach is to use a multiple such as EV-to-EBITDA ratio or EV-to-sales ratio to value the various segments of a business and then compare the sum of the values to the conglomerate EV to determine the reasonableness of the transaction.
- Statement 2: Unlike sales, spinoffs do not generate sale proceeds; hence, they are easier to model.

Which statement is correct?

- A)** Both statements are correct.
- B)** Statement 1 only.
- C)** Statement 2 only.
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Question #8 of 13

Question ID: 1481906

Which corporate transaction is *most likely* in response to compliance with regulatory requirements?

- A)** Restructuring.
- B)** Investment.
- C)** Divestment.
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Question #9 of 13

Question ID: 1481908

Peter Small, CFA, makes the following statements:

- Statement 1: In an opportunistic restructuring, a business changes its balance sheet composition, cuts costs, or alters its business model to improve the return on capital.
- Statement 2: Moderate- to large-sized business units sought by several potential acquirers might be expected to be spun off as opposed to sold.

Which statement is correct?

- A)** Neither statement is correct.
 - B)** Statement 2 only.
 - C)** Statement 1 only.
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Question #10 of 13

Question ID: 1576064

Petra Zimuth, CFA, is analyzing an announced acquisition. Under the terms, Apollo, Inc., is to be taken over by Bastille, Inc., at a price of \$65 per share. Last week, Apollo stock was trading at a price of \$48 and increased to \$55 in anticipation of the announcement. The offer premium is *closest* to:

- A)** 35%.
 - B)** 18%.
 - C)** 44%.
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Question #11 of 13

Question ID: 1481911

Which of the following is *least likely* an advantage of comparable company analysis?

- A)** The approach does not assume that the market's valuation of the comparable companies is fair.
- B)** Estimates of value are derived directly from the market rather than assumptions and estimates about the future.
- C)** Data for comparable companies is easy to access.

Question #12 of 13

Question ID: 1481909

Which of the following statements about materiality is *least accurate*?

- A)** Cost restructuring may be evaluated as estimated savings as a percentage of sales.
 - B)** Materiality is evaluated based on transaction size and fit.
 - C)** The divestment of an unrelated business for a company that had previously been diversifying into such businesses is immaterial.
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Question #13 of 13

Question ID: 1481912

Which of the following is *least likely* a disadvantage of comparable transaction analysis (CTA)?

- A)** Historical transactions may have occurred under different conditions.
- B)** Estimates of value are derived directly from recent prices for actual deals completed in the marketplace.
- C)** The CTA approach implicitly assumes that the M&A market valued past transactions appropriately.